| Reg. No | | | | | | | | | |
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# St. Joseph's College of Arts & Science (Autonomous)

**St. Joseph's College Road, Cuddalore – 607001**

**B.Com (BM) DEGREE EXAMINATION – APRIL 2021**

**BM409S - COST ACCOUNTING**

**Time : 3 hrs** **Max Marks :75**

## SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is Cost Accounting?
2. What is Cost Sheet?
3. What is meant by Material Control?
4. Expand EOQ and LIFO.
5. Define overheads.
6. What is Primary Distribution?
7. What is Job Costing?
8. What is Contract Costing?
9. Define Marginal costing.
10. Write Formula of margin of safety and P/V ratio.

## SECTION – B (5x5=25)

**Answer Any FIVE Question**

11. State the limitations of cost accounting?
12. What are the elements of cost accounting?
13. Calculate EOQ from the following information's

| | |
|---|---|
| Annual consumption of materials | 600 units |
| Ordering cost | Rs. 12 per order |
| Price per unit | Rs. 20 |
| Carrying cost per annum | 20% |

14. During 2010, X Ltd spent Rs. 1,00,000 on indirect expenses and produced 25,000 units of its only products. There were no inventories. The company has decided to absorb the indirect expenditure on the basis of its output. Determine the overheads absorption rate.

15. Compute the overheads allocable to production Departments X and Y from the following

    There are two service departments $S_1$ and $S_2$.. $S_1$ renders service to X and Y in the ratio of 5:3 and $S_2$ renders Service to X and Y in the ration of 3:1 overheads as per primary overheads distribution are:

    X: Rs. 58,800; Y: Rs 39,400; $S_1$ : 32,800; $S_2$ : Rs.12,400

16. From the following is the summary of transaction as on 31st December 2006, relating to a special contract completed during the year

| | |
|---|---|
| Materials bought from the market | Rs.1,500 |
| Material issued from stores | Rs. 500 |
| Wages | Rs.2,440 |
| Direct expenses | Rs. 294 |

    Office on cost 10% of prime cost

    You are required to prepare a contract account keeping in view that material returned amounted to Rs. 240.

17. From the following data calculate:

    (A) P/V ratio

    (B) Variable cost and

    (C) Profit

| | |
|---|---|
| Sales | Rs. 80,000 |
| Fixed expenses | Rs.15,000 |
| Break even point | Rs.50,000 |

**SECTION - C (3x10=30)**

Answer **any THREE** questions

18. Discuss the various types of costing?

19. The following information is provided by coorg coffee manufacturing unit for the 14th April 1999.

Material –A

| | | |
|---|---|---|
| Stock on 1-4-96 | | 100 units at Rs.5 per unit |
| Purchases | 5-4-96 | 300 units at Rs. 6 |
| | 8-4-96 | 500 units at Rs. 7 |
| | 12-4-96 | 600 units at Rs.8 |
| Issues | 6-4-96 | 250 units |
| | 10-4-96 | 400 units |
| | 14-4-96 | 500 units |

Calculate the value of material consumed during the period under LIFO method.

20. Compute a machine hour rate so as to cover the overheads expenses given below:

| | Per Hour | Per Annum |
|---|---|---|
| Electric power | 80 paise | |
| Steam power | 30 paise | |
| Water | 10 paise | |
| Repairs | | Rs.860 |
| Rents | | Rs.350 |
| Other information available: | | |
| Original cost of machine | | Rs.15,000 |
| Present book value | | Rs.3,000 |
| Replacement value | | Rs.10,000 |
| Rate of depreciation | | 10% per annum |

Running hours of the machine: 2,400 Hours

21. The following information is available in respect of a contract undertaken by a building contractor in 1990.The contract was for Rs. 2,40,000

| | |
|---|---|
| Material issued | Rs. 45,000 |
| Wages paid | Rs. 66,000 |
| General charges | Rs. 2,400 |
| Plant installed as site on 1st July 1990 | Rs. 12,000 |

| | |
|---|---|
| Material in hand at the end | Rs. 2,400 |
| Wages accrued due | Rs. 2,200 |
| Work certified | Rs.1,20,000 |
| Work completed but not certified | Rs. 3,000 |
| Cash received | Rs. 90,000 |
| Material transfer to other contract | Rs. 2,400 |
| Material received from other contract | Rs. 600 |

Depreciation on plant is to be provided at 10% p.a. Prepare contract account and show what part of the profit on contract should be taken to the credit of P&L A/c in the year 1990.

22. From the following information relating to Palani Bros. Ltd, you are required to find out:

(A) P/V Ratio (B) BEP (C) Profit (D) Margin of safety (E) Volume of sales to earn profit of Rs.6,000

| | |
|---|---|
| Total Fixed costs | Rs. 4,500 |
| Total variable cost | Rs. 7,500 |
| Total Sales | Rs. 15,000 |

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